

money is holding on.” There was a rumor that Angstrom was about to announce a big government contract, which the smart money must have believed, while the dumb money was getting out.

It’s amazing what the phrase “smart money is holding on” can do to an investor’s perceptions, turning the tangible evidence of failure, i.e., falling prices, into a sign of success. The dumb money must have continued to get out, because Angstrom dropped from $2\frac{1}{4}$ back toward $2\frac{1}{8}$, hurtling me closer to the familiar “break even” point. By the end of February, my 5,000 shares were worth \$9,687.50, according to my monthly statement, which gave me a paper loss of \$455.75. I took this to mean that smart money was in shorter and shorter supply.

My resolve to hold on was continually tested in the ordeal of more dumb money selling more shares. I went back over the list of time-tested rules, and was comforted by: “Don’t panic, be patient, never sell too soon.” In my anxiety, I began to sneak into the neighborhood office of Dis-Com Securities, a discount brokerage, to peck the symbol for Angstrom (ATSI) into their countertop Quotron machine. That way, I could watch the price going down every day.

Each time Angstrom reached a new low, I’d call Ms. Garrett, who I noticed was no longer initiating calls to me. She’d phone her source and call me back with various updates, such as: “delays in the big announcement of the government contract,” “a bit of infighting in the company soon to be resolved,” “continued general weakness in the market,” and the especially promising “Gabelli may be buying.”

Mario Gabelli, a.k.a. the Great Gabelli, was a famous investor of smart money, frequently quoted in *Barron’s*. This Gabelli story was only another rumor, but I found it reassuring. If Mr. Gabelli liked Angstrom and had the patience to suffer through the actions of its dumber shareholders, then so should I. Ms. Garrett also told me that neither she nor anyone in her office had sold their shares.

In yet another phone call, which began to remind me of the tranquilizing talk-downs on cocaine hot lines, Ms. Garrett mentioned “more sellers than buyers” as further explanation for our short-term setback. “More sellers than buyers” was a phrase I’d heard from other brokers as well. This time, as I lay awake wor-